

Economic History of Sweden

'Welfare State'

A concept of government in which the state plays a key role in the protection and promotion of the economic and social well-being of its citizens. A welfare state is based on the principles of **equality of opportunity, equitable distribution of wealth** and **public responsibility for those unable to avail themselves** of the minimal provisions of a good life. Under this system, the welfare of its citizens is the responsibility of the state.

Under this method, the government oversees and administers **healthcare, education, employment, social security** and other resources that help maintain the standard of living of the state's citizens. Supplemental Social Security Income (SSI) is one of these programs. SSI is a federal income supplement program funded by general tax revenues, not by Social Security taxes that was initiated in order to help the less fortunate. The sociologist T.H. Marshall described the modern welfare state as a distinctive combination of democracy, welfare, and capitalism.

Modern welfare states include the countries, such as Iceland, Sweden, Norway, Denmark, and Finland which employ a system known as the Nordic model. Esping-Andersen classified the most developed welfare state systems into three categories; Social Democratic, Conservative, and Liberal.

Anglican Archbishop William Temple, author of the book *Christianity and the Social Order* (1942), popularized the concept using the phrase "welfare state." The Swedish welfare

state is called *Folkhemmet* — literally, "folk home", and goes back to the 1936 compromise between Swedish trade unions and large corporations.

1790-1815 - Agricultural revolution and protoindustrialization

During the period 1790-1815 Sweden experienced two parallel economic movements: **an agricultural revolution** with larger agricultural estates, the crown transferring areas to private farmers, new crops and farming tools and a **commercialization** of farming, and a **protoindustrialisation**, with small industries being established in the countryside and with workers switching between agricultural work in the summer season and industrial production in the winter season. This led to economic growth benefiting large sections of the population and leading up to a **consumption revolution** starting in the 1820s. It also led to rapid demographic increase.

1815-1850 - Industrial revolution, regional specialization and institutional changes

In the period 1815-1850 the protoindustries developed into more specialized and larger industries. This period witness increasing regional specialization with mining in **Bergslagen**, textile mills in **Sjuhäradsbygden** and forestry in **Norrland**. Several important institutional changes took place in this period, such as **free and mandatory public schooling** introduced **1842 (as the first country in the world)**, the **abolishment of a previous national monopoly on trade in handicrafts** - the skråväsendet - in 1846, and a **stock company law** in 1848.

1850-1890 - Export growth, railroads and investment *take off*

During the period 1850-1890 Sweden witnessed a veritable explosion in its export sector, with **agricultural crops, wood and steel** being the three dominating categories. Important institutional changes in this period included the **abolishment of most tariffs and other barriers** to free trade in the 1850s and the introduction of the **gold standard in 1873, linking the Swedish krona at a fixed parity to gold**. These institutional changes helped the expansion of free trade.

During this period Sweden's investment quota (investments/GDP) went from 5% to 10%, called *take off*. During this period modern economic growth, with yearly GDP growth of around 2% made its advent in Sweden. Large infrastructural investments were made during this period, mainly in the expanding rail road network, which was financed in part **by the government and in part by private enterprises**.

1890-1950 - Second industrial revolution

During the period 1890-1930 the **Second industrial revolution** took place in Sweden. During this period new industries developed, with their focus on the domestic market: **mechanical engineering, power utilities, paper making and textile industries**. The rapid expansion of these industries was clearly helped by the existence of a **well functioning risk capital market**: the Stockholm Stock Exchange was established in 1866, the Bank of Sweden (founded in 1668 as the first central bank in the world) in 1897 was given legal rights as the sole issuer of bank notes in Sweden and given status as lender of last resort, this making it easier to establish small independent private commercial banks, leading to a rapid expansion in the number of private banks and also to a **rapid credit expansion**. The private banks issued loans to start-up companies, with stocks as security. As the company was in business and showing positive business figures, the stocks were sold on the stock market, enabling the bank to lend the money

to other start-up companies. **The rapid credit expansion led to bank tragedy in 1907, as well as a property market collapse.**

Having imported vast amounts of foreign capital to finance its industrialization, during a 60 year period, from 1850 to 1910, Sweden was probably one of the leading debtor nations in the world by 1910. This situation would change rapidly in the coming decade. In 1914 the First World War commenced and international demand for Swedish exports of strategically important products such as steel, to be used in the armaments industry, increased rapidly. The warring nations had imposed severe limitations on trade between each other, as a neutral country, Sweden was not affected by these restrictions. The warring nations, such as the UK, to a large extent used the printing of new money as a means of financing the war, leading to inflation and thus causing the prices for Swedish exports to rise rapidly. The massive transfers of foreign money as payments for wartime Swedish exports meant that Sweden went from having been one of the **most indebted nations in the world before the war, to being a net creditor after the war.**

Economy of Sweden

[Stockholm, Sweden](#)

Currency [Swedish krona](#) (SEK, kr)

[Fiscal year](#) calendar year

Trade organisations EU, [OSCE](#), [WTO](#), [OECD](#) and others

Statistics

[GDP](#) \$0.55 [trillion](#) (2013 est.) (nominal)
\$0.40 [trillion](#) (2013 est.) (PPP)

GDP rank [21st](#) (nominal) / [33rd](#) (PPP)

GDP growth ▲2.1% (2014)

GDP per capita \$41,000 (2013 est.) (PPP)

GDP by sector agriculture: 1.8%, industry: 27.4%, services: 70.8 % (2012 est.)

[Inflation \(CPI\)](#) ▼0.9% (2012 est.)

[Gini coefficient](#) 23 (2005)

Labour force 5.1 million (August 2013)

Labour force by occupation agriculture: 1.1%, industry: 28.2%, services: 70.7% (2008 est.)

Unemployment ▼6.2% or 7.0% (Smoothed and seasonally adjusted data) (November 2015)

Average gross salary €40,000/\$45,000 yearly(2014)

Average net salary €31,000/\$35,000 yearly(2014)

Main industries telecommunications equipment, [wood pulp](#) and paper products, [motor vehicles](#), pharmaceutical products, iron and steel

Ease-of-doing-business rank 13th

External

Exports \$0.18 trillion (2012 est.)

Export goods machinery, motor vehicles, paper products, pulp and wood, iron and steel products, chemicals, military armaments

Main export partners	 Norway 10.3%
	 Germany 10.3%
	 United States 7.7%
	 United Kingdom 7.2%
	 Denmark 6.8%
	 Finland 6.7%
	 Netherlands 5.2%
	 Belgium 4.4%
	 France 4.1% (2015 est.)

Imports \$0.16 trillion (2012 est.)

Import goods machinery, petroleum and petroleum products, chemicals, motor vehicles, iron and steel; foodstuffs, clothing

Main import partners	 Germany 18.0%
	 Netherlands 8.3%
	 Norway 8.2%
	 Denmark 7.7%
	 United Kingdom 5.5%
	 China 5.1%
	 Finland 4.6%

 [Belgium](#) 4.4%

 [France](#) 4.3% (2015 est.)

FDI stock \$0.5 trillion (31 December 2012 est.)

Gross external debt \$1 trillion (31 December 2012)

Public finances

Public debt 32% of GDP (end of 2012)

Revenues \$0.27 trillion (2012 est.)

Expenses \$0.27 trillion (2012 est.)

Economic aid *donor:* [ODA](#), ~\$4 billion (April. 2007)

Credit rating

- [Standard & Poor's](#):
AAA (Domestic)
AAA (Foreign)
AAA (T&C Assessment)
Outlook: Stable^[11]
- [Moody's](#):
Aaa
Outlook: Stable

- [Fitch:^{\[11\]}](#)
AAA
Outlook: Stable

**Foreign
reserves**

\$52 billion (31 December 2012 est.)

Main data source: [CIA World Fact Book](#)
All values, unless otherwise stated, are in [US dollars](#).

Sweden's Healthcare System

In December 2013, when the OECD released its overview of healthcare in Sweden, as part of its annual review of global health statistics the Swedish government was quick to call a press conference to celebrate the fact that the report rated the outcomes of treatment in Sweden among the best in the world.

More good news was added when an update of the OECD's 2010 rankings of healthcare systems in 19 industrialized countries saw Sweden move up from fourth place to first.

So far, so good. But all good things must come to an end. Sweden's healthcare still has serious governance issues that need to be addressed. The OECD noted that the biggest challenge to continued excellence in Sweden's health and social care system is the issue of co-ordinating care between hospitals, primary care and local authorities - a note that will be familiar to policymakers in the UK and many other countries.

Sweden's healthcare system is socialized in nature. Every residents of the country has access to a universal healthcare program. It is heavily decentralized though and is mostly supported through regional and local taxes. It is government funded, and will provide care to anyone who needs it regardless of their ability to pay for it.

Sweden's government run healthcare system is constantly at the top of international rankings. This could be because of their fast and efficient treatment of patients. The healthcare system being run at a local level allows for the people to truly be involved in their healthcare system. Without this local healthcare system, it would be like the socialized medicine in many of the

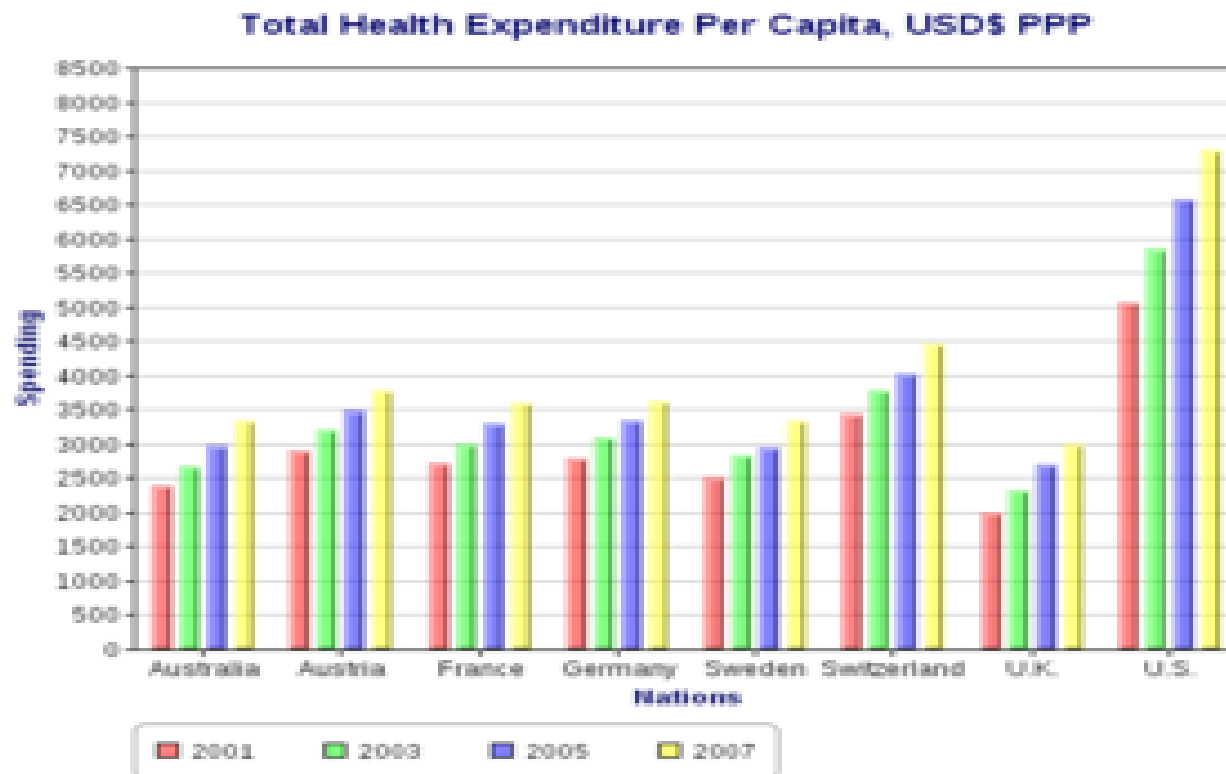
surrounding countries. While medical care is provided to all, it moves much slower and is not quite as broad as the Swedish government offers.

One of the coolest things about the Swedish healthcare system is that if you are unable to work for any reason, your employer still pays you your full wage for 14 days. This is great if you become violently ill and need the money to continue to pay for your day to day expenses. After 14 days, the state will continue to pay you for as long as you remain ill. This program is crucial, especially in a country where it is almost impossible to find a job that does not require some type of physical movement.

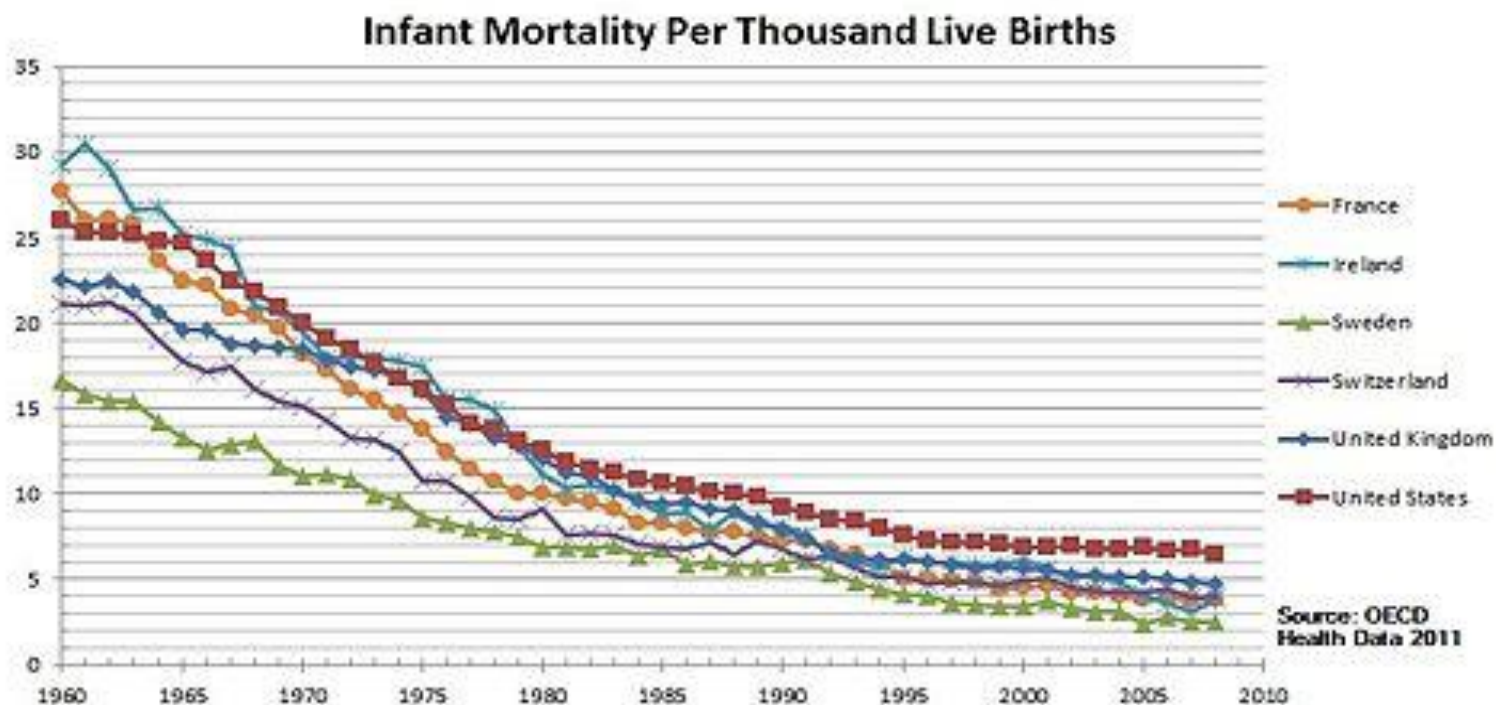
Another cool feature of the Swedish healthcare system is that it reimburses you for any expenses that you incur in your travel to and from the clinic. That is right; the government will pay for your taxi ride or gas. If you do end up needing treatment and are calling the clinic to see a doctor, you are guaranteed to be seen within three days. All treatment by a specialist is supposed to be completed within 10 days.

All of these wonderful rules and regulations do come at a slight increase in the tax rate. 9% of the GDP of Sweden is healthcare and the related services. While some people might be fine with this, you do have to understand that is almost 1/10th of your countries total economic activity going towards healthcare. If you end up visiting Sweden from another country make sure to purchase international health insurance. The Swedish government will most likely require payment for any health services rendered if you do not live in the country.

The Swedish health care system is mainly government-funded and decentralized, although private health care also exists. The health care system in Sweden is financed primarily through taxes levied by county councils and municipalities.



Management



The reduction in infant mortality between 1960 to 2008 for Sweden in comparison with Ireland, France, Switzerland, the United Kingdom, and the United States.

Sweden's health care system is organized and managed on three levels: national, regional and local. **At the national level**, the Ministry of Health and Social Affairs establishes principles and guidelines for care and sets the political agenda for health and medical care. The ministry along with other government bodies supervises activities at the lower levels, allocates grants and periodically evaluates services to ensure correspondence to national goals.

At the regional level, responsibility for financing and providing health care is decentralized to the county councils. A county council is a political body whose representatives are elected by the public every four years on the same day as the national general election. The executive board or hospital board of a county council exercises authority over hospital structure and management, and ensures efficient health care delivery. County councils also regulate prices and level of service offered by private providers. Private providers are required to enter into a contract with the county councils. Patients are not reimbursed for services from private providers who do not have an agreement with the county councils. According to the Swedish health and medical care policy, every county council must provide residents with good-quality health services and medical care and work toward promoting good health in the entire population.

At the local level, municipalities are responsible for maintaining the immediate environment of citizens such as water supply and social welfare services. Recently, post discharge care for the disabled and elderly, and long term care for psychiatric patients was decentralized to the local municipalities.

Sweden is, slightly simplified, divided into 21 county councils. Around 90 percent of the Swedish county councils' work involves health care but they are also involved in other areas, such as culture and infrastructure. The population in these 21 areas ranges from 60,000 to 1,900,000. The county councils have considerable leeway in deciding how care should be planned and delivered. This explains the wide regional variations.

It is informally divided into 7 sections: "Close-to-home care" (primary care clinics, maternity care clinics, out-patient psychiatric clinics, etc.), emergency care, elective care, in-patient care, out-patient care, specialist care, and dental care.

Provision

Private companies in 2015 provide about 20% of public hospital care and about 30% of public primary care, although in 2014 a survey by the SOM Institute found that 69% of Swedes were opposed to private companies profiting from providing public education, health, and social care, with only about 15% actively in favour.

In April 2015 Västernorrland County ordered its officials to find ways to limit the profits private companies can reap from running publicly funded health services.

Financing



Södersjukhuset is one of the largest hospitals in Sweden. The hospital is owned, funded and operated by Stockholm County Council.

Costs for health and medical care amount to approximately 9 percent of Sweden's gross domestic product (GDP), a figure that has remained fairly stable since the early 1980s. Seventy-one percent of health care is funded through local taxation, and county councils have the right to collect income tax. The state finances the bulk of health care costs, with the patient paying a small nominal fee for examination. The state pays for approximately 97% of medical costs.

When a physician declares a patient to be ill for whatever reason (by signing a certificate of illness/unfitness), the patient is paid a percentage of their normal daily wage from the second day. For the first 14 days, the employer is required to pay this wage, and after that the state pays the wage until the patient is declared fit.

Waiting times

Urgent cases are always prioritized and emergency cases are treated immediately. The national guarantee of care, Vårdgaranti, lays down standards for waiting times for scheduled care, aiming to keep waiting time below 7 days for a visit to a primary care physician, and no more than 90 days for a visit to a specialist. It does not however, always deliver. A child with psychiatric problems may often wait 18 months for an appointment.

Details and patient costs

Prescription medicine costs per year are not free but are limited for the patient. When 2,200kr have been paid to the pharmacy, the medicines are paid by the government for the rest of the year. All pharmacies are network-connected so medicines can be obtained from any pharmacy in the country. The prescription is sent through internet to the pharmacy network, which also

stores information on previous medications obtained and relevant medical history of the person, at which point one will only need to produce identification to acquire the medication.

In a sample of 13 developed countries Sweden was eleventh in its population weighted usage of medication in 14 classes in 2009 and twelfth in 2013. The drugs studied were selected on the basis that the conditions treated had high incidence, prevalence and/or mortality, caused significant long-term morbidity and incurred high levels of expenditure and significant developments in prevention or treatment had been made in the last 10 years. The study noted considerable difficulties in cross border comparison of medication use.

A limit on health-care fees per year exists; 150-300 SEK for each visit to a doctor, regardless if they are a private doctor or work at a local health-care center or a hospital. When visiting a hospital, the entrance fee covers all specialist visits the doctor deems necessary, like x-ray, rheumatism specialist, heart surgery operations and so on. The same fee is levied for ambulance services. After 1100 SEK have been paid, health-care for the rest of the year will be provided free of charge.

Dental care is not included in the general health care system, but is partly subsidized by the government. Dental care is free for youths up to 19 years of age, while a general dental care insurance (introduced in 1974) covers all inhabitants from the age of 20 onwards.

Performance

According to the Euro health consumer index the Swedish score for technically excellent healthcare services, which they rated 10th in Europe in 2015, is dragged down by access and

waiting time problems, in spite of national efforts such as Vårdgaranti. It is claimed that there is a long tradition of steering patients away from their doctor unless they are really sick.

Education in Sweden

From the age of six, every child has equal access to free education in Sweden. The Swedish school system is regulated through the **Education Act**, which ensures a safe and friendly environment for students. The act mandates nine years of school attendance for all children from the year they turn seven.

Education in Sweden is mandatory for all children between age 7 and age 16. The school year in Sweden runs from mid/late August to early/mid June. The Christmas holiday from mid December to early January divides the Swedish school year into two terms. Homeschooling is closely supervised by the government and very limited.

From the age of one, children can be admitted to pre-school (*förskola*). Pre-schools help provide an environment that stimulates children's development and learning and enable parents to combine parenthood with work or studies. During the year before children start compulsory school, all children are offered a place in a pre-school class (*förskoleklass*), which combines the pedagogical methods of the pre-school with those of compulsory school. Between ages 6/7 and 15/16, children attend compulsory comprehensive school (*grundskola*), divided in three stages. The vast majority of

schools in Sweden are municipally run, but there are also autonomous and publicly funded schools, known as "independent schools". The education in independent schools has many objectives in common with the municipal school, but it can have an orientation that differs from that of the municipal schools. A handful of boarding schools, known as "private schools", are funded by privately paid tuition.

In 2008, statistics showed that of all Swedes aged 25–64, 15% have completed only compulsory education (as the highest level of attainment), 46% only upper secondary education, 14% only post-secondary education of less than three years, and 22% post-secondary education of three years or more. Women are more educated than men (26% of women vs. 19% of men have post-secondary education of three years or more). The level of education is highest among those aged 25–34, and it decreases with age. Both upper secondary school and university studies are financed by taxes. Some Swedes go straight to work after secondary school. Along with several other European countries, the government used to subsidize tuition of non-EU/EEA students pursuing a degree at Swedish institutions, but in 2010 they started charging non-EU/EEA students 80,000-100,000 SEK per year. Swedish fifteen-years-old pupils have the 22nd highest average score in the PISA assessments, being neither significantly higher nor lower than the OECD average.

Student aid

Swedish students receive economic help from the Swedish National Board of Student Aid (CSN) for studying. Every student is entitled to 12 semesters of allowances and loans, totaling 2,230 SEK per week (September 2012: 261 EUR, 339 USD, 209 GBP) for full-time studies (after 1 July 2006). Allowances are usually 699 SEK per week (September 2012: 82 EUR; 106 USD; 65 GBP) with loans

covering the rest. The limits for loans and allowances may be substantially increased under certain circumstances.

Comparison with the American educational system

The Swedish educational system has its own distinctions and, as such, is not directly comparable to the educational system in the United States. There is, however, a need to compare degrees and the educational or academic levels attained through a completed education. Swedish Education is not easy to compare.

While the Swedish educational system is regulated by the Government of Sweden, the American educational system is regulated at the state level. Furthermore, the definition and duration of primary and secondary school in the US and the names they are called (e.g., elementary school, grade school, middle school, junior high school, high school, senior high school) can vary within a state making comparisons with other countries difficult. To simplify, a typical mainstream American educational system is compared with the mainstream Swedish educational system, where special education is not included in mainstream education.

In the US, children are typically required to attend primary school and secondary school from age 6 to 18. After completing high school, many Americans enroll in higher education in a community college, college, or university. In comparison, Swedish children are required to attend *grundskola*, compulsory school, from age 7 to 16, where *grundskola* is a combination of primary and secondary school. After *grundskola*, many Swedes attend the elective *gymnasieskolan*, upper secondary school, choosing either a university-preparatory program or a vocational program. Students who choose a

vocational program normally terminate their education after *gymnasieskolan* while students who complete a university-preparatory program normally enroll in higher education at a university or university college. Students who complete a vocational program can enroll in higher education, but may need to take additional courses before being eligible to apply.

In Sweden, *grundskola* students are required to learn how to swim as a part of their physical education. Since 1 September 2007, students in årskurs 5 must be able to swim 200 meters, with 50 meters on their back.

In the US, many high-school students take a driver's education course at their high school, which is often subsidized by the government. Thus, by the age of 18, many Americans have a driving permit or a driver's license. In contrast, Swedes typically learn how to drive by paying for a course at a private driving school (*trafikskola*). Since driving school can be quite expensive, many Swedes obtain their driver's license when they are older than 18. The minimum age of obtaining a drivers license in Sweden is 18.

Before 1 July 2007, Sweden had several degrees of undergraduate education, such as candidate of philosophy (fil. kand.) or *civilingenjör* (m. sc. eng.). Since 1 July 2007, undergraduate education in Sweden consists of all higher education degrees that are normally obtained in the first 5 years (Master, Bachelor, University Diploma and all professional degrees). In the US, undergraduate education is considered higher education degrees that are normally obtained in the first 4 years (Bachelor and Associate degrees).

Graduate education in the US consists of the Doctorate and master's degrees. Postgraduate education is additional training after being awarded a Doctorate degree. In contrast, postgraduate

programmes in Sweden are at the graduate level and consist of the Doctorate and Licentiate degrees. (The master's degree is a part of undergraduate education.)

Social security in Sweden

Social security in Sweden is one of the parts of the Swedish welfare system and consists of various social insurances handled by the National Agency for Social Insurance (Swedish; Försäkringskassan), and also welfare given out on a need basis by local municipalities. They are the main conduits for redistribution of approximately 48% of the Swedish GDP in the form of taxed income.

Child allowance and parental benefit

The parents of children up to age of 18, receive a child allowance, "*barnbidrag*" of 1,050 kr per child, with an additional supplement, "*flerbarnstillägg*", for multiple children ranging from 1500 kr for two children to 4,114 kr for six children. The parents also receive parental benefits, "*föräldrapenning*", to be able to be home from work to take care of their children for up to 480 days, and a temporary parental benefit to stay home and take care of a sick child. The levels depend on income. There is also a childcare allowance, "*vårdbidrag*" to enable parents to stay home and care for children with long-term illnesses.

Housing allowance

Families with children, and people below 29 years of age may be eligible to receive a housing allowance, "*bostadsbidrag*". The amount depends on income, the size of the family, housing costs and house size. At most it is 1.300 SEK.

Benefits for ill and disabled

Working people are entitled to sick pay when ill. The first 14 days (except the first day off) are paid by the employer, the rest by Försäkringskassan. If an employee's ability to work is permanently reduced, disability payments may be made.

If you need time-consuming assistance in your everyday life to be able to work or study due to illness or disability you can obtain disability allowance, "*handikappersättning*". If you have a substantial and permanent disability where you need assistance with mealtimes, washing, clothing and communicating with others, you can receive an attendance allowance, "*assistentersättning*", to pay for an assistant. If you have great difficulties in getting about on your own, or in using public transport due to a permanent disability you can obtain an allowance to purchase a car, make alterations to a car, and to take a driving licence.

Support for the elderly

If you have worked in Sweden and earned a taxable work income, you will be entitled to Swedish old age pension, at the earliest from the age of 61 years. The levels depend on your income and how long you have worked. There is also a guarantee pension which you are entitled to if you

have lived for at least three years in Sweden if you have had no or low income. Elderly can also receive housing supplements or maintenance support. The levels of these depend on your needs.

Welfare

If you have no or low income you can apply for welfare from your local municipality. The municipality will look at your economic situation to determine if you should receive welfare or not. The welfare should be enough to cover things like housing, food, clothing and telephone.

How Sweden created a model economy

The Swedish economy is performing well in comparison with other Western nations. Before, the country's economy was sometimes dismissed as 'socialist', but now it is held up as an example of capitalism done right. How does Sweden do it?

Stability through reform

Sweden has among the EU's lowest levels of national debt, low and stable inflation and a healthy banking system. But this wasn't always the case. The Swedish economy used to suffer from low growth and high inflation, and the Swedish krona was repeatedly devalued. Sweden was also hit by a deep financial crisis in the early 1990s. Banks became unstable and two were nationalised, unemployment rose rapidly, government spending got out of control, and so did Sweden's national debt.

The road back to stability and success was not easy for Sweden. But by pursuing inventive and courageous reforms and sticking to them, Sweden has transformed its economy and stayed strong in the face of the new global recession.

A balanced budget

Since the crisis of the 1990s, successive Swedish governments have been balancing the budget for over a decade, and have continued to do so even in the wake of the 2007–2008 global financial crisis. How is this possible?

Sweden reinvented its economic governance with a series of innovative regulations. First, in 1996 a ceiling for government expenditures (*utgiftstak*) was introduced. This was accompanied by the addition of the 'surplus goal' (*överskottsmålet*) for the government budget. These reforms have met with broad support from across the political spectrum in Sweden. They help ensure that high debt doesn't accumulate and that debt isn't passed on to future generations.

Additionally, in 2007 the Swedish Fiscal Policy Council (*Finanspolitiska rådet*) was established. This committee of experts audits the government's policy decisions regarding public finances and aims to ensure that they remain consistent with the goals of growth, employment and long-term financial sustainability. The Swedish government's credible management of the public finances has meant that Sweden remains in the top league of fiscally responsible countries in Europe.

While governments with large budget deficits carry out austerity measures by increasing taxes and cutting public spending, Sweden has avoided these difficulties. In fact, taxes in Sweden have actually been lowered since the crisis began. Sweden has also continued to invest in areas like healthcare, education and research, instead of having to cut heavily in these areas like in some countries.

A dynamic economy

Sweden today has a diverse, highly competitive and successful economy. The World Economic Forum ranks Sweden the sixth most competitive country in the world. Sweden is also the sixth easiest country in the world to trade with, according to the World Bank. This is unsurprising,

since a key feature of the Swedish economy is its openness and liberal approach to trade. Sweden is an export-orientated nation that has a large trade surplus and exports a variety of goods.

In addition to maintaining competitiveness in goods and manufacturing, growth in modern service sectors such as information and communication technology has been strong in Sweden. Internet calling service Skype and online music streaming service Spotify are two examples, but Swedes haven't stopped there. Since 2008 the ICT sector has grown by 16 per cent and now employs over 4 per cent of the Swedish workforce. The sector is characterised by its many new and small businesses, and Stockholm has become known as one of Europe's hottest start-up cities for ICT companies.

Although Stockholm is the hub of Swedish economic activity, it is far from being the only successful region. In fact, wealth in Sweden is more evenly distributed across regions than anywhere else in the EU. Remarkably, Sweden is the only EU country where each and every region has a higher GDP per capita than the EU average. So dynamic economies and high standards of living are found across the country.

Sweden's present economic and social prosperity was built on the lessons learned from the financial crisis in the early 1990s. Governments pursued reforms and fiscal sustainability became institutionalised. Stable economic policies combine with competitiveness, innovation and an open approach to trade to make Sweden a model for economic success.

Stopping a Financial Crisis, the Swedish Way

By CARTER DOUGHERTY SEPT. 22, 2008

A banking system in crisis after the collapse of a housing bubble. An economy hemorrhaging jobs. A market-oriented government struggling to stem the panic. Sound familiar?

It does to Sweden. The country was so far in the hole in 1992 — after years of imprudent regulation, short-sighted economic policy and the end of its property boom — that its banking system was, for all practical purposes, insolvent.

But Sweden took a different course than the one now being proposed by the United States Treasury. And Swedish officials say there are lessons from their own nightmare that Washington may be missing.

Sweden did not just bail out its financial institutions by having the government take over the bad debts. It extracted pounds of flesh from bank shareholders before writing checks. Banks had to write down losses and issue warrants to the government.

That strategy held banks responsible and turned the government into an owner. When distressed assets were sold, the profits flowed to taxpayers, and the government was able to recoup more money later by selling its shares in the companies as well.



Bo Lundgren, minister for fiscal and financial affairs during the 1992 crisis. Credit Swedish National Debt Office

“If I go into a bank,” said Bo Lundgren, who was Sweden’s minister for fiscal and financial affairs at the time, “I’d rather get equity so that there is some upside for the taxpayer.”

Sweden spent 4 percent of its gross domestic product, or 65 billion kronor, the equivalent of \$11.7 billion at the time, or \$18.3 billion in today’s dollars, to rescue ailing banks. That is slightly less, proportionate to the national economy, than the \$700 billion, or roughly 5 percent of gross domestic product, that the Bush administration estimates its own move will cost in the United States.

But the final cost to Sweden ended up being less than 2 percent of its G.D.P. Some officials say they believe it was closer to zero, depending on how certain rates of return are calculated.

The tumultuous events of the last few weeks have produced a lot of tight-lipped nods in Stockholm. Mr. Lundgren even made the rounds in New York in early September, explaining what the country did in the early 1990s.

A few American commentators have proposed that the United States government extract equity from banks as a price for their rescue. But it does not seem to be under serious consideration yet in the Bush administration or Congress.

The reason is not quite clear. The government has already swapped its sovereign guarantee for equity in Fannie Mae and Freddie Mac, the mortgage finance institutions, and the American International Group, the global insurance giant.

Putting taxpayers on the hook without anything in return could be a mistake, said Urban Backstrom, a senior Swedish finance ministry official at the time. "The public will not support a plan if you leave the former shareholders with anything," he said.

The Swedish crisis had strikingly similar origins to the American one, and its neighbors, Norway and Finland, were hobbled to the point of needing a government bailout to escape the morass as well.

Financial deregulation in the 1980s fed a frenzy of real estate lending by Sweden's banks, which did not worry enough about whether the value of their collateral might evaporate in tougher times.

Property prices imploded. The bubble deflated fast in 1991 and 1992. A vain effort to defend Sweden's currency, the krona, caused overnight interest rates to spike at one point to 500

percent. The Swedish economy contracted for two consecutive years after a long expansion, and unemployment, at 3 percent in 1990, quadrupled in three years.

After a series of bank failures and ad hoc solutions, the moment of truth arrived in September 1992, when the government of Prime Minister Carl Bildt decided it was time to clear the decks.

Standing shoulder-to-shoulder with the opposition center-left, Mr. Bildt's conservative government announced that the Swedish state would guarantee all bank deposits and creditors of the nation's 114 banks. Sweden formed a new agency to supervise institutions that needed recapitalization, and another that sold off the assets, mainly real estate, that the banks held as collateral.

Sweden told its banks to write down their losses promptly before coming to the state for recapitalization. Facing its own problem later in the decade, Japan made the mistake of dragging this process out, delaying a solution for years.

Then came the imperative to bleed shareholders first. Mr. Lundgren recalls a conversation with Peter Wallenberg, at the time chairman of SEB, Sweden's largest bank. Mr. Wallenberg, the scion of the country's most famous family and steward of large chunks of its economy, heard that there would be no sacred cows.

The Wallenbergs turned around and arranged a recapitalization on their own, obviating the need for a bailout. SEB turned a profit the following year, 1993.

"For every krona we put into the bank, we wanted the same influence," Mr. Lundgren said. "That ensured that we did not have to go into certain banks at all."

By the end of the crisis, the Swedish government had seized a vast portion of the banking sector, and the agency had mostly fulfilled its hard-nosed mandate to drain share capital before injecting cash. When markets stabilized, the Swedish state then reaped the benefits by taking the banks public again.

More money may yet come into official coffers. The government still owns 19.9 percent of Nordea, a Stockholm bank that was fully nationalized and is now a highly regarded giant in Scandinavia and the Baltic Sea region.

The politics of Sweden's crisis management were similarly tough-minded, though much quieter.

Soon after the plan was announced, the Swedish government found that international confidence returned more quickly than expected, easing pressure on its currency and bringing money back into the country. The center-left opposition, while wary that the government might yet let the banks off the hook, made its points about penalizing shareholders privately.

"The only thing that held back an avalanche was the hope that the system was holding," said Leif Pagrotsky, a senior member of the opposition at the time. "In public we stuck together 100 percent, but we fought behind the scenes."